CONFIDENTIAL
Enron Corp.
Case No. EC-2002-01038
Doc No. E1CAA0D6D
Date: 01/15/2003
ENRON CORP. - PRODUCED PURSUANT TO FERC SUBPOENA.
SUBJECT TO PROTECTIVE ORDER. CONFIDENTIAL TREATMENT REQUESTED.
RELEASE IN PART

From: Lynnette Barnes <lynnette.barnes@enron.com>
Sent: Thu, 24 May 2001 14:25:00 -0700 (PDT)
To: Tom Chapman <tom.chapman@enron.com>, Marchris Robinson <marchris.robinson@enron.com>, Bill Moore <bill.moore@enron.com>, Howard Fromer <howard.fromer@enron.com>, Frank Rishe <frank.rishe@enron.com>, Steve Montovano <steve.montovano@enron.com>, Daniel Allegretti <daniel.allegretti@enron.com>, Jeff Ader <jeff.ader@enron.com>, Mark Bernstein <mark.bernstein@enron.com>, Pearce W Hammond <pearce.hammond@enron.com>, Brad J Snyder <brad.snyder@enron.com>, Gloria Ogenyi <gloria.ogenyi@enron.com> ...
Subject: MA Becomes First State to Impose CO2 Controls

MASS. BECOMES FIRST STATE TO IMPOSE CO2 CONTROLS UNDER TOUGH NEW STANDARDS

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Page 1
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Massachusetts became the first state to issue limits on carbon dioxide emissions from power plants with the recent release of a major new plan that requires older plants to meet tougher standards for several pollutants. The new regulations, which take effect in June, call for the state's six oldest power plants, which total 4,500 MW, to reduce nitrogen oxide emissions by 50%, sulfur dioxide by as much as 74% and CO2 by 10%. Power plants also must begin stack testing for mercury, in preparation for mercury emissions standards that will begin Oct. 1, 2006.

Issued by the state Dept. of Environmental Protection, the regulations apply to Sithe Energies Mystic Station in Everett; NRG Energy's Montaup Station in Somerset; PG&E National Energy Group's Salem Harbor in Salem, and Brayton Point in Somerset; Northeast Utilities' Mount Tom Station; and Mirant's Canal Electric in Sandwich.

Although Massachusetts has emissions trading and averaging rules, the new regulations prohibit use of emissions averaging between the plants to meet the standards. Local citizens, environmental groups and elected officials protested such averaging because they feared that PG&E National Energy Group would use reductions from its Salem, Mass., plant to offset emissions at its Fall River Brayton Point facility, creating what they described as a burden of air pollution in Fall River.

The rules do, however, allow plants to generate SO2 ``early reduction credits'' by operating below historical average emission rates. A generating

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facility can use the ERCs to meet the new standards, but cannot transfer the ERCs to another facility.

The DEP also will allow transfer of SO2 allowances under the Federal Acid Rain program. The DEP noted that the plants will be emitting at rates lower than what the EPA requires to create allowances. Therefore, the plants are likely to create a substantial number of unused allowances. If the plants transfer the allowances to upwind sources, it could harm air quality in Massachusetts. The DEP plans to monitor the situation, and may limit the ability of the plants to accumulate the allowances if they are having an adverse impact on Massachusetts.

The rules allow use of off-site reductions and carbon sequestration to comply with the CO2 cap. In the future, it also plans to allow CO2 trading and will set up a Massachusetts Greenhouse Gas Reductions Registry to promote reductions and create consistency in their creation.

The DEP decided against issuing a standard for fine particulate matter for the time being, saying there is ``currently insufficient technical information'' to support a standard and that the NOx and SO2 reductions will automatically reduce PM concentrations.

While the regulations won praise from several environmental groups, the Competitive Power Coalition of New England warned that they may jeopardize reliability, increase consumer costs and reduce fuel diversity.

CPC says that the state went back on its original proposal, announced about a year ago, which was supported by the plant owners. Plant owners offered voluntary emissions reductions with the understanding that if they did, the state would not institute new regulations.

The DEP, however, said that not all of the power plant owners submitted detailed voluntary plans. And further, the state agency said that it had made clear that it would incorporate the voluntary proposals in new regulations.

CPC said that the original proposals also did not include CO2 or mercury limits, and did not prohibit averaging. Moreover, the state originally agreed to give plant owners several more years to comply, setting deadlines of 2007 and 2010 to meet reductions, according to Neal Costello, CPC general counsel. Instead, the final rules call for the plants to achieve the standards between Oct. 1, 2004 and Oct. 1, 2008. Plants that repower are given more time than those that install emissions pollution control technologies.

Specifically, plants that repower have until Oct. 1, 2006 to reduce NOx by 1.5 lbs/MWh using a 12 month rolling average and SO2 to 6 lbs/MWh. By 2008

they must reduce SO2 to 3 lbs/MWh. Plants that do not repower have until Oct. 1, 2004 to meet the first SO2 and NOx standards, and until Oct. 1, 2006 to meet the final SO2 standard. For CO2, plants must limit emissions to 1800 lbs/MWh by Oct. 1, 2006, if they install emissions reductions devices, and two years later if they repower.

[REDACTED] B6
take them longer to complete design, permitting and construction. It's worth the wait, the DEP said, because repowering reduces multiple pollutants.

CPC's Costello said that the regulations will increase power costs at about the same time that the state is scheduled to end discounted utility standard offer service, which is taken by about 80% of the state's electricity consumers. The customers will then buy power at market prices, which are likely to rise as the generators pass on the cost of the environmental upgrades.

Power plant owners have also said that the tight time frames could jeopardize system reliability because it may force plants offline simultaneously. However, the DEP argued that the region will not be short of supply because 10,000 MW in new capacity will come on line by 2003.